

Contents

1. Introduction.....	1
2. Financial Structure Analysis.....	1
2.1 Capital Structure and Gearing.....	1
2.2 Financial Risk Management.....	2
2.2.1 Maturity Profile of Debt.....	2
2.2.2 Interest Rate Risk.....	2
2.2.3 Currency Risk.....	3
2.2.4 Liquidity Risk.....	3
2.2.5 Cash Flow Impact.....	3
2.2.6 Other Commitments.....	4
2.2.7 Payables and Other Current Liabilities.....	5
2.3 Equity Analysis.....	5
2.3.1 Gearing from the Perspective of Equity.....	5
2.3.2 Book Value of Equity versus Market Value of Equity.....	6
2.3.4 Return on Equity: Accounting-Based Measures.....	6
2.4 Conclusion.....	7
3. Asset and Operational Performance Analysis.....	7
3.1 Asset Performance Analysis.....	7
3.1.1 Understanding the Asset Base.....	7
3.1.2 Asset Utilisation Measures: Profit-Based Measures.....	8
3.1.3 Asset Utilisation Measures: Revenue-Based Measures.....	8
3.1.4 Asset Utilisation Measures: Employee-Based Measures.....	8
3.2 Operational Analysis.....	9
3.2.1 Revenue and Profit Initial Analysis.....	9
3.2.2 Margin Analysis.....	9
3.2.3 Segmental Analysis.....	10
3.3 Conclusion.....	11
4. Cash Flow Analysis.....	12
4.1 Synopsis of the Statement of Cash Flows.....	12
4.2 Cash Flow from Operating Activities.....	12
4.3 Cash Flow from Investing Activities.....	13

4.4 Cash Flow from Financing Activities.....	14
4.5 Free Cash Flow.....	15
4.6 Conclusion.....	16
5. Valuation.....	16
5.1 Market Capitalisation and Enterprise Value.....	16
5.2 Cash-Based Valuation.....	17
5.3 Dividend-Based Valuation.....	17
5.4 Conclusion.....	18
6. Conclusion and Investment Recommendation.....	18
References.....	19

1. Introduction

Shell plc is one of the world's largest integrated energy companies, listed on the London Stock Exchange (SHEL.L) and the New York Stock Exchange (SHEL). The company operates across five segments: Integrated Gas, Upstream, Marketing, Chemicals and Products, and Renewables and Energy Solutions, employing approximately 96,000 people across more than 70 countries as at 31 December 2024 (Shell, 2024a, p.117).

This report evaluates Shell's performance over the two financial years ended 31 December 2024 and 2023 from an equity investor's perspective. The analysis is based on the audited Statement of Financial Position (SFP), Income Statement (I/S), and Statement of Cash Flows (SCF), supplemented by segmental disclosures from the 2024 Annual Report. The assessment focuses on four key areas: financial structure; asset and operational performance; cash flow quality; and valuation, culminating in a justified investment recommendation.

Shell operates in a capital-intensive, commodity-sensitive industry where cash generation and balance sheet discipline are the primary drivers of long-run equity value. The energy transition introduces structural uncertainty, with Shell's Renewables and Energy Solutions segment at the centre of an ongoing portfolio repositioning that is a key focus of this analysis.

2. Financial Structure Analysis

2.1 Capital Structure and Gearing

There is an improvement in Capital structure of Shell between 2023 and 2024. Total debt reduced from \$81,541m to \$77,078m by a reduction in non-current debt from \$71,610m to \$65,448m. It is partially offset by an increase in current debt from \$9,931m to \$11,630m. After deducting cash and cash equivalents of \$39,110m (2023: \$38,774m), net debt decrease from \$43,542m to \$38,809m. Total finance capital also decreased from \$231,904m to \$218,977m. It reflects both the lower debt position and a decline in equity from \$188,362m to \$180,168m.

The gearing improved from 18.8% in 2023 to 17.7% in 2024, indicating a lower reliance on debt financing relative to total capital. Both 2023 and 2024 gearing of Shell is pretty low. This suggests Shell is maintaining a relatively conservative capital structure, with net debt representing less than one-fifth of total finance capital.

	Financial Structure Analysis			
W1	Liabilities/Debt			
		2024	2023	
	Current Debt	11,630	9,931	SFP
	Non-current Debt (long term)	65,448	71,610	SFP
	Total Debt	77,078	81,541	
	Cash and cash equivalents	39,110	38,774	SFP
	Net Debt	38,809	43,542	
	Equity	180,168	188,362	SFP
	Total Finance Capital	218,977	231,904	
	Gearing	17.7%	18.8%	

2.2 Financial Risk Management

2.2.1 Maturity Profile of Debt

Shell's debt maturity profile is mostly on long-term obligations. In 2024, 91% of total repayments (\$27,615m) are due after 5 years. This number is slightly higher than 2023 (\$30,365m). This indicates a well-spread, long-dated debt structure that reduces near-term refinancing pressure. Short-term debt (under 1 year) increased from 16% to 23% of borrowings (\$5,352m to \$6,921m), which need to monitoring but remains manageable because of Shell's cash position of \$39,110m. This cash are able to covers this near-term obligation.

W2	Maturity Profile of Debt	2024	2023	2024	2023
				% of Borrowings	
	Under 1 year	6,921	5,352	23%	16%
	1 to 2 years	3,961	6,424	13%	19%
	2 to 3 years	2,413	3,929	8%	11%
	3 to 4 years	5,496	2,835	18%	8%
	4 to 5 years	2,365	5,495	8%	16%
	Over 5	27,615	30,365	91%	88%
	Total Repayments	48,771	54,400		
	Interest	- 18,317	- 20,056		
	Total Debt	30,454	34,344		

2.2.2 Interest Rate Risk

Shell maintains a predominantly fixed-rate debt portfolio. It also having issued significant fixed-rate debt during the low interest rate environment of prior years (Shell, 2024a, Note 26, p.299). Although the fixed/variable split is not separately disclosed, interest paid of \$4,557m represented 8.3% (\$4,557m/\$54,700m) of operating cash flow in 2024 (2023: 8.2%). This may confirm that manageable debt servicing costs.

2.2.3 Currency Risk

Shell mostly pays debt in US dollars. The sensitivity of group profit to a 10% USD appreciation was only –\$10m in 2024 (2023: –\$387m), a negligible 0.03% of operating profit (Shell, 2024a, Note 26, p.300). Shell almost eliminates currency sensitivity, which may partly reflect strong hedging and a largely USD-aligned revenue and cost structure. However, relying on USD may also limit Shell’s revenue diversification into potential growth and non-USD economies over the longer term.

W4	Currency Profile of Debt	2024	2023
	GBP	Notdisclosed	Notdisclosed
	EUR	Notdisclosed	Notdisclosed
	Other		
W5	Sensitivity of Rates	2024	2023
	Movement in rates	-10	-387
	<i>Movement in exchange rates (proxy; sum of 10% appreciation vs USD across listed currencies)</i>		
	as % of Operating profit (loss) (income before taxation - interest expens	-0.03%	-1%
	as % of total equity	-0.01%	-0.21%

2.2.4 Liquidity Risk

Shell maintains an undrawn committed revolving credit facility of \$8,000m (21% of net debt). Short-term cash availability of \$108,396m (calculated in W11) exceeded short-term cash requirements of \$69,810m by 55%, indicating robust near-term liquidity and it may suggest liquidity is well-managed. However, holding \$39,110m in cash alongside an undrawn facility (\$8,000m) may hide level of capital efficiency because cash held for liquidity is not generating returns.

W6	Undrawn Committed Facility	2024	2023
	Total amount	8,000	8,000
	As % of net debt	21%	18%
	As % of total assets	2%	2%

2.2.5 Cash Flow Impact

Operating cash flow of \$54,687m is enough for both interest paid (\$4,557m) and net debt repayments (\$9,672m) in 2024, resulting in a net debt cash outflow of \$10,035m, indicating that Shell is actively deleveraging from operating cash generation rather than relying on asset disposals or new borrowings. Interest paid as a percentage of operating cash flow remained stable at 8% in both years, while interest paid to operating profit rose modestly from 12% to 13% a trend worth

monitoring given the rising rate environment, though at current levels the debt servicing burden remains modest. Net debt to operating cash flow improved from 0.80 to 0.71, and net debt to free cash flow from 1.48 to 1.21. The continued improvement in these ratios alongside a decline in net debt from \$43,542m to \$38,809m suggests Shell's cash generation capacity is sufficient to support both debt reduction and ongoing operations simultaneously.

W7	Cash Flow Impacts	2024	2023
	Cash from operations	54,687	54,191
	Interest Paid	4,557	4,441
	New borrowings	363	1,029
	Repayment of borrowings	9,672	10,650
	Net cash movement	10,035	11,679
W8	Debt servicing ability	2024	2023
	Interest Paid From Operations	8%	8%
	Interest Paid to Operating Profit	13%	12%
	Net Debt	38,809	43,542
	Net Debt to Operating Cash	0.71	0.80
	Free Cash Flow (see below)	32,150	29,322
	Net Debt to Free Cash Flow	1.21	1.48
	Free Cash Flow	2024	2023
	Cash Inflow from Operations	54,687	54,191
	Less Interest Paid	- 4,557	- 4,441
	Less Capital Expenditure	- 19,601	- 22,993
	Less Payments to buy Intangible Assets	Notdisclosed	Notdisclosed
	Add Disposals of PPE and Intangible Assets	1,621	2,565
		32,150	29,322

2.2.6 Other Commitments

Capital commitments fall from \$12,419m (3.1% of total assets) in 2023 to \$7,815m (2.0% of total assets) in 2024. This 37% (from \$12,419m to \$7,815m) reduction may reflect greater capital discipline, though it could equally suggest a more cautious forward investment stance. If fewer assets are being committed to, existing assets will continue to reduce its value without replacement. It potentially affects productive capacity in the medium term.

W9	Commitments	2024	2023
	Contractual commitments (Capital Commitments)	7,815	12,419
	As % of total assets	2.0%	3.1%

2.2.7 Payables and Other Current Liabilities

Trade and other payables fell from \$68,237m to \$60,693m, reducing total short-term cash requirements from \$75,700m to \$69,810m . It is positive sign for liquidity. Cash availability of \$108,396m continues to comfortably exceed these requirements. This confirms Shell's ability to meet short-term obligations without external financing. However, two items moved in the opposite direction: income taxes payable increased from \$3,422m to \$4,648m, and provisions rose from \$4,041m to \$4,469m, potentially reflecting increasing decommissioning or other future obligations which need to pay attention in the future.

W11	Working Capital	2024	2023	
	Trade and other payables	60,693	68,237	SFP
	Decommissioning and other provisions	4,469	4,041	SFP
	Income taxes payable	4,648	3,422	SFP
	Short term cash requirements	69,810	75,700	
	Receivables	45,860	53,273	SFP
	Inventory	23,426	26,019	SFP
	Cash	39,110	38,774	SFP
	Other Investments	-	-	SFP
	Short term cash availability	108,396	118,066	
	Cash Generation	2024	2023	
	Opening Receivables	53,273	66,510	SFP
	Revenue	284,312	316,620	I/S
	Less: Closing Receivables	- 45,860	- 53,273	SFP
	Cash from Sales (per annum)	291,725	329,857	
	Cash from Sales (per month)	24,310	27,488	

2.3 Equity Analysis

2.3.1 Gearing from the Perspective of Equity

Equity accounts for 82% of Shell's total finance capital of \$218,977m in 2024, increased 1% compared with 2023, with net debt of \$38,809m representing only 21.5% of book equity. This may indicates that Shell relies primarily on equity rather than debt financing.

W12	Equity	2024	2023
	Market Value of Equity at year end (\$)	203,180	229,340
	Book Value of Equity	180,168	188,362
	Market (Value) to Book (Value)	113%	122%
	Net Debt	38,809	43,542
	Equity	180,168	188,362
	Total Finance Capital	218,977	231,904
	% Equity	82%	81%

2.3.2 Book Value of Equity versus Market Value of Equity

The P/B ratio (market value of equity / book value of equity) declined from 1.22 to 1.13, as market value fell from \$229,340m to \$203,180m against a book value of \$180,168m . A P/B above 1.0 confirms the market values Shell above its net assets.

2.3.3 Return on Equity: Market-Based Measures

Total Shareholder Return (TSR) fell sharply from 14.92% in 2023 to 0.54% in 2024. The share price fell from GBp 2,571 to GBp 2,476. It relates to a loss of -\$0.01 per share in USD terms, meaning only the dividend of \$1.39 per share sustained positive returns . The dividend yield improved from 3.7% to 4.3%, however this may partly reflect the lower share price rather than dividend growth alone.

W13	Total Shareholder Return	2024	2023
	Opening Share price on 1/1/2024 & 2023 [GBp]	2,571	2,326
	Closing Share price on 31/12/2024 & 2023 [GBp]	2,476	2,569
	Increase/(Decrease) [GBP]	- 0.95	2.43
	Need to convert GBp to GBP, 1 GBP = 100 GBp		
	Convert to USD (use average of monthly rates)	- 0.01	0.03
	Dividend for the year USD	1.39	1.2935
	Total Gain/(Loss) in USD per share	0.18	4.32
	% Gain/(Loss)	0.54%	14.92%

2.3.4 Return on Equity: Accounting-Based Measures

ROE measures how effectively a company generates profit from shareholders' equity. It declined from 10.4% to 9.2%, as net income fell 15.9% from \$19,636m to \$16,521m, while total equity declined only 4.3% from \$188,362m to \$180,168m. Because net income fell significantly faster rate than total equity, the ROE reduction is primarily driven by the decline in net income. This suggests Shell is generating less profit per dollar of shareholders' equity than in last year.

W14	Return on Equity	2024	2023	
	Profit/(Loss) for the financial year	16,521	19,636	I/S
	Total Equity	180,168	188,362	SFP
	Return on Equity	9.2%	10.4%	

2.4 Conclusion

Overall, financial structure of Shell is quite conservative and managed well. Gearing is low at 17.7%, liquidity is robust, and debt obligations are mostly in long-dated. However, the declining ROE from 10.4% to 9.2% and TSR from 14.92% to 0.54% suggest that Shell's ability to create returns for equity holders has reduced.

3. Asset and Operational Performance Analysis

3.1 Asset Performance Analysis

3.1.1 Understanding the Asset Base

Total non-current assets declined 5% to \$259,683m in 2024, and PP&E falling from \$194,835m to \$185,219m. Intangibles and goodwill represent only 4% and 6% of non-current assets respectively. It indicates that most asset is a tangible asset base that limits decline in value risk. The consecutive decline in non-current assets may suggests potentially capital expenditure is insufficient to replace ageing assets further and maintain productive capacity in the medium term.

W15	Non-Current Assets Base - Growth Rate	2024	2023	
	Total Non Current Assets	259,683	272,155	
	Growth Rate	-5%	-2%	

W16	Strength of Balance Sheet - % Intangibles	2024	2023	
	Intangible Assets	9,480	10,253	4%
	Total Non-Current Assets	259,683	272,155	
	Goodwill	16,032	16,660	6%
	Total Non-Current Assets	259,683	272,155	

3.1.2 Asset Utilisation Measures: Profit-Based Measures

ROA, ROCE, and return on non-current assets declined in 2024. This is because a fall in EBIT from \$37,300m to \$34,709m, indicating Shell is creating less profit per dollar of assets employed than in the last year. ROCE adjusted for non-recurring items remains at 11.6%. This suggests the decline is not affected by one-off items. The continuous decline of all three measures may suggest this trend could persist if earnings continue to fall.

W17	Asset Performance - Profit Based Measures				
	RoA	2024		2023	
	Earnings Before Interest and Tax (operating profit)	34,709	9.0%	37,300	9.2%
	Total Assets	387,609		406,270	
	Return on Non-Current Assets				
	Earnings Before Interest and Tax	34,709	13.4%	37,300	13.7%
	Total Non-Current Assets	259,683		272,155	
	ROCE				
	Earnings Before Interest and Tax	34,709	11.6%	37,300	12.0%
	Total Assets - Current Liabilities	298,778		311,110	
	ROCE version 2				
	Earnings Before Interest and Tax - Non-recurring item	34,662	11.6%	37,501	12.1%
	Total Assets - Current Liabilities	298,778		311,110	

3.1.3 Asset Utilisation Measures: Revenue-Based Measures

Asset turnover declined from 77.9 to 73.4 as revenue fell 10.2% from \$316,620m to \$284,312m faster than total assets declined 4.6% from \$406,270m to \$387,609m. This indicates that Shell is generating less revenue per dollar of assets in 2024.

W18	Asset Performance - Revenue Based Measures	2024		2023	
	Asset Turnover				
	Revenue	284,312	73.4%	316,620	77.9%
	Total Assets	387,609		406,270	

3.1.4 Asset Utilisation Measures: Employee-Based Measures

Shell reduced headcount by 6,800 employees (-6.8%) from 103,000 to 96,000, while revenue per employee declined from \$3,073,981 to \$2,961,583, consistent with the overall revenue decline. Average cost per employee rose 10.1% from \$103,379 to \$113,833, yet total wages increased only 2.6% from \$10,648m to \$10,928m, as the headcount reduction partially offset the higher per-employee cost. This suggests Shell has effectively contained overall labour costs despite rising individual employee costs.

W19	Asset Performance - Employee Based Measures	2024		2023	
	Revenue per Employee				
	Revenue	284,312	\$2,961,583.33	316,620	\$3,073,980.58
	Total No of Employees	96,000		103,000	
	Average cost per employee				
	Total Wages	10,928	\$113,833.33	10,648	\$103,378.64
	Total No of Employees	96,000		103,000	

3.2 Operational Analysis

3.2.1 Revenue and Profit Initial Analysis

Revenue declined 10.2% from \$316,620m to \$284,312m, continuing the retreat from the \$381,314m peak in 2022. Operating profit fell 7.0% to \$34,709m and net profit fell more sharply at 15.9% to \$16,521m. The decline in operating profit relative to revenue (7% vs 10%) may indicate cost management efficiency. However the sharper fall in net profit is partly explained by a rising effective taxation charge from \$12,991 in 2023 to \$13,401 in 2024 (Shell, 2024a, Note 23, p287). This indicates that a greater proportion of operating profit was absorbed by tax in 2024 than in 2023.

	OPERATIONAL ANALYSIS				
W20	Sales Analysis				
	Profit	2024	2023	Operating Profit 2022	
	Operating Profit	34,709	37,300	64,815	
	Operating Profit / (Loss) Growth or (Decline)	-7%	-42%		
	Income for the period (Profit / (Loss) for the financial year)	16,521	19,636	42,874	
	Profit / (Loss) Growth or (Decline)	-16%	-54%		
	Revenue	284,312	316,620	381,314	
	Sales Growth / (Decline)	-10%	-17%		

3.2.2 Margin Analysis

In both years, operating margin and net margin remained at 12% and 6% respectively. This suggests Shell maintained cost discipline although the revenue decline. However, net profit fell 15.9% from \$19,636m to \$16,521m (about 15%), faster than revenue declined (from 316,620 to 284,312, 10%), partly because of a higher taxation charge rising from \$12,991m to \$13,401m despite lower pre-tax earnings, meaning Shell paid more tax per dollar of pre-tax profit in 2024, leaving less available for equity holders.

W21	Margin Analysis	2024		2023	
	Gross Margin				
	Gross Profit	Not applicable		Not applicable	
	Revenue				
	Operating Margin				
	Operating Profit	34,709	12%	37,300	12%
	Revenue	284,312		316,620	
	Net Margin				
	Profit for the year	16,521	6%	19,636	6%
	Revenue	284,312		316,620	

3.2.3 Segmental Analysis

Upstream is the dominant earnings engine, generating adjusted EBITDA of \$31,264m (47.5% of group) with 2.1% growth in 2024, and operating cash flow of \$21,246m (38.8% of group). Integrated Gas declined 11.8% to \$20,978m, while Marketing grew 18.0% to \$7,476m. Chemicals and Products fell 9.4% to \$6,783m. The most concerning development is Renewables and Energy Solutions, which swung from a \$1,164m EBITDA profit to a -\$22m loss while consuming \$2,338m in capex, suggesting the segment is currently generating no return on its capital investment.

W22		2024		2023		
	Business Segment Analysis	Segment earnings	% Share	Segment earnings	% Share	Growth / (Decline) \$
	Integrated Gas	9,590	57.1%	7,057	34.8%	35.9%
	Upstream	7,772	46.3%	8,540	42.1%	-9.0%
	Marketing	1,894	11.3%	3,057	15.1%	-38.0%
	Chemicals and Products	1,757	10.5%	1,482	7.3%	18.6%
	Renewables and Energy Solutions	- 1,229	-7.3%	3,089	15.2%	-139.8%
	Corporate	- 2,992	-17.8%	- 2,944	-14.5%	1.6%
		16,792	100.0%	20,281	100.0%	-17.2%
W23		2024		2023		
	Business Segment Analysis	Adjusted EBITDA	% Share	Adjusted EBITDA	% Share	Growth / (Decline) \$
	Integrated Gas	20,978	31.9%	23,773	34.7%	-11.8%
	Upstream	31,264	47.5%	30,622	44.7%	2.1%
	Marketing	7,476	11.4%	6,337	9.2%	18.0%
	Chemicals and Products	6,783	10.3%	7,489	10.9%	-9.4%
	Renewables and Energy Solutions	- 22	0.0%	1,481	2.2%	-101.5%
	Corporate	- 675	-1.0%	- 1,164	-1.7%	-42.0%
		65,804	100.0%	68,538	100.0%	-4.0%
	EBITDA: Earnings before Interest, Tax, Depreciation and Amortisation					

W24		2024		2023		
	Business Segment Analysis	Capital Expenditure	% Share	Capital Expenditure	% Share	Growth / (Decline) \$
	Integrated Gas	4,095	20.9%	3,491	15.2%	17.3%
	Upstream	7,739	39.5%	8,249	35.9%	-6.2%
	Marketing	2,357	12.0%	5,741	25.0%	-58.9%
	Chemicals and Products	2,943	15.0%	2,928	12.7%	0.5%
	Renewables and Energy Solutions	2,338	11.9%	2,314	10.1%	1.0%
	Corporate	129	0.7%	270	1.2%	-52.2%
		19,601	100.0%	22,993	100.0%	-14.8%
W25		2024		2023		
	Business Segment Analysis	Cash flow from operating activities	% Share	Cash flow from operating activities	% Share	Growth / (Decline) \$
	Integrated Gas	16,909	30.9%	17,520	32.3%	-3.5%
	Upstream	21,244	38.8%	21,450	39.6%	-1.0%
	Marketing	7,363	13.5%	5,561	10.3%	32.4%
	Chemicals and Products	7,253	13.3%	7,513	13.9%	-3.5%
	Renewables and Energy Solutions	3,798	6.9%	2,984	5.5%	27.3%
	Corporate	- 1,882	-3.4%	- 832	-1.5%	126.2%
		54,685	100.0%	54,196	100.0%	0.9%
W26		2024		2023		
	Business Segment Analysis	Revenue	% Share	Revenue	% Share	Growth / (Decline) \$
	Integrated Gas	37,290	13.1%	37,645	11.9%	-0.9%
	Upstream	6,606	2.3%	6,475	2.0%	2.0%
	Marketing	120,089	42.2%	130,559	41.2%	-8.0%
	Chemicals and Products	90,918	32.0%	97,080	30.7%	-6.3%
	Renewables and Energy Solutions	29,366	10.3%	44,819	14.2%	-34.5%
	Corporate	43	0.02%	42	0.01%	2.4%
		284,312	100.0%	316,620	100.0%	

Revenue all regions declined in 2024 except Americas (+0.6%). Europe fell most sharply at -21.7% from \$118,135m to \$92,480m. While Asia, Oceania, and Africa declined only -1.6% from \$99,967m to \$98,343m, making it Shell's largest revenue region at 34.6%, overtaking Europe at 32.5%. .

W26		2024		2023		
	Geographical Location	Revenue	% Share	Revenue	% Share	Growth / (Decline) \$
	Europe	92,480	32.5%	118,135	37.3%	-21.7%
	Asia, Oceania, Africa	98,343	34.6%	99,967	31.6%	-1.6%
	USA	65,089	22.9%	70,291	22.2%	-7.4%
	Americas	28,400	10.0%	28,227	8.9%	0.6%
		284,312		316,620		

3.3 Conclusion

Shell's asset declined across all key measures in 2024. Total non-current assets fell 5%, ROA, ROCE, asset turnover, and revenue per employee all decreased, primarily by lower EBIT and revenue. However, stable operating and net margins at 12% and 6% respectively suggest Shell did effective cost management. Besides, Upstream remains the dominant earnings engine while

Renewables and Energy Solutions consumed \$2,338m in capex for near-zero EBITDA return . It reflects inefficiency of capital deployment in Shell's low-carbon strategy. These findings are only partially consistent with management commentary. While CEO Wael Sawan described 2024 as a strong year citing FCF growth and strategic progress (Shell, 2024a). This contrasts with the declining revenue, ROA, and ROCE identified in this analysis, and is difficult to reconcile with the near-zero EBITDA return from the Renewables and Energy Solutions segment.

4. Cash Flow Analysis

4.1 Synopsis of the Statement of Cash Flows

In 2024, Shell made operating cash inflows of \$54,687m, investing outflows of \$15,155m (2023: \$17,734m), and financing outflows of \$38,435m (2023: \$38,235m). It resulted in a net positive cash movement of \$1,097m, while it is negative in 2023. This improvement is by reducing investing outflows rather than increasing operating inflows.

	CASH FLOW ANALYSIS			
W27	Headline Analysis -	2024		2023
	Cash Inflow from Operations	54,687		54,191
	Cash Inflow / (Outflow) from Investing Activities	-15,155		-17,734
	Cash (Outflow) from Financing Activities	-38,435		-38,235
	Net Cash Movement	1,097		-1,778

4.2 Cash Flow from Operating Activities

Operating cash flow (\$54,687m) overcame operating profit (\$34,709m) in 2024. This was \$16,891m gap in 2023. It may suggest that cash generation stability exceeds reported profit. Although there was reduction in revenue (10.2%), operating cash margin still increased from 17.1% to 19.2%. This indicates Shell's cash generation made up better than its revenue performance.

	Cash Flow from Operating Activities				
W28	Net Cash Flow From Operations	2024		2023	2022
	Net Cash Flow From Operations	54,687		54,191	68,414
	Change %	0.92%		-20.79%	
	Net Cash Flow From Operations	54,687		54,191	
	Operating Profit / (Loss)	34,709		37,300	
	Cash Flow great than profits	Yes		Yes	Yes
W29	Operating Cash Margin	2024		2023	
	Operating Cash Flow	54,687	19.23%	54,191	17.12%
	Revenue	284,312		316,620	

W30	Net Debt to Cash Flow	2024		2023	
	Net Debt	38,809	0.71	43,542	0.80
	Operating Cashflow	54,687	Years	54,191	Years
	Interest Servicing Ability	2024		2023	
	Interest Paid	4,557	8.33%	4,441	8.20%
	Operating Cash Flow	54,687		54,191	
	Interest Rate - estimate	2024		2023	
	Interest Paid	4,557	5.91%	4,441	5.45%
	Total Debt	77,078		81,541	

4.3 Cash Flow from Investing Activities

Capital expenditure declined 14.8% from \$22,993m to \$19,601m. A slight increase in asset turnover demonstrate by decreasing of replacement rate from 6.5 years to 6.3 year in 2024. The reinvestment period increased from 2.36 to 2.79 years. This suggest that Shell requires more years of operating cash flow to fund its capital expenditure than previously. Net strategic investment decreased from -\$874m to -\$312m, because of higher proceeds from equity securities sales (\$582m vs \$51m). This may indicates that shell may be divesting some certain investments.

	Cash Flow from Investing Activities				
W31	Replacement Rate	2024		2023	
	PPE	185,219		194,835	
	Intangibles	9,480		10,253	
		194,699		205,088	
	Additions to PPE	26,446		25,831	
	Additions to Intangibles	4,456		5,558	
		30,902		31,389	
	Replacement Rate (notional years)	6.30		6.53	
	Capital expenditure	19,601		22,993	
	Ability to Reinvest	2024		2023	
	Net Cash Flow From Operations	54,687		54,191	
	Payments on PPE and Intangibles	19,601		22,993	
	Reinvestment period required	2.79		2.36	
	Strategic Expansion/Contraction	2024		2023	
	Investments in joint ventures and associa	-1,404		-1,202	
	Proceeds from joint ventures and associa	590		474	
	Investments in equity securities	-80		-197	
	Proceeds from sale of equity securities	582		51	
		-312		-874	

4.4 Cash Flow from Financing Activities

In terms of finance activities, there was slight decrease in both total debt and equity outflows in 2024, compared with 2023. It may indicates that Shell keep a consistent capital return policy. The dividend yield improved from 3.7% to 4.3%. This partly reflects the lower market value of equity rather than dividend growth alone.

W32	Debt and Equity	2024	2023
	Debt - Interest	- 4,557	- 4,441
	Debt - Movement in short term		
	Debt - Proceeds - Long term		
	Repayment of loans	-9,672	-10,650
	Total Debt	- 14,229	- 15,091
	Cash dividends paid to:Shell plc sharehold	-8,668	-8,393
	Equity - Purchase of treasury shares	-13,898	-14,617
	Equity - Share issue		
	Total Equity	-22,566	-23,010
W33	Dividend Yield	2024	2023
	Equity - dividends	8,668	8,393
	Market Value of Equity at year end (\$)	203,180	229,340
	Dividend Yield (Div/Market Value)	0.0427	0.037

4.5 Free Cash Flow

While there was 10.2% revenue decline Free Cash Flow (operating cash flow + investing cash flow) improved from \$36,457m to \$39,532m (+9.2%). FCF margin (FCF / revenue) improved from 11.51% to 13.9%, indicating Shell generated more free cash per dollar of revenue in 2024. FCF yield (FCF / market capitalisation + net debt) also improved from 13.36% to 16.34%, reflecting both higher FCF and a lower enterprise value. The improvement in all three FCF metrics may suggest Shell's cash generation capacity is more resilient than its earnings performance indicates.

W34	Free Cash Flow	2024	2023
	Cash Inflow from Operations	54,687	54,191
	Cash Inflow / (Outflow) on Investing Activit	-15,155	-17,734
		39,532	36,457

W35	FCF Margin		2024		2023	
	FCF		39,532 	13.90%	36,457	11.51%
	Revenue		284,312	0	316,620	
	FCF Yield					
	FCF		39,532 	16.34%	36,457	13.36%
	Market Capitalisation + Net Debt (note 1)		241,989		272,882	
	Note 1: Market capitalisation and net debt		2024		2023	
	Market Value of Equity at year end (\$)		203,180		229,340	
	Market Value of Equity at year end (€)		NA		NA	
	Net Debt		38,809		43,542	
	Market Capitalisation + Net Debt		241,989		272,882	

4.6 Conclusion

Overall, Shell's cash flow in 2024 indicates Shell may generate real and sustainable cash. Despite weaker revenue, operating cash flow consistently overcame reported profit, and FCF improved. Debt is being reduced from operating cash generation rather than asset disposals, and shareholder returns of \$22,566m are supported by cash flow rather than borrowing. The main concern is that FCF improvement was created by capital expenditure rather than earnings growth, which, combined with the declining asset base noted in section 3.1.1. It may suggest Shell is prioritising short-term cash returns over long-term reinvestment capacity.

5. Valuation

5.1 Market Capitalisation and Enterprise Value

Market capitalisation in 2024 declined 7.18% from \$208,483m to \$193,515m. This is a result of reduction of no of shares and share price has slight decrease. Enterprise value declined from \$231,904m to \$218,977m, consistent with lower equity value and reduced net debt.

W36	Market Capitalisation	2024	2023
	Share price USD	32	31.96
	No. of Shares	6,115,031,158	6,524,109,049
	Market Capitalisation (millions) USD	193,515	208,483
	Market cap growth	-7.18%	
W37	Enterprise Value(EV)	2024	2023
	Equity Value	180,168	188,362
	Net Debt Value	38,809	43,542
	Enterprise Value	218,977	231,904

5.2 Cash-Based Valuation

EV/FCF declined from 6.4 to 5.5 and FCF yield improved from 13.36% to 16.35% , indicating Shell generates more free cash flow relative to its enterprise value than in the last year. Notably, while FCF improved 9.2%, market capitalisation declined 7.18%. However, this is results of share count reduction through buybacks rather than share price reduction, as share price remained broadly flat.

As an additional valuation cross-check, an EV/EBITDA approach was applied using Shell's 2023 multiple of 3.38 as the benchmark. Applying this to 2024 Adjusted EBITDA of \$65,803 million yields an implied enterprise value of \$222,650 million, approximately 1.7% above the reported enterprise value of \$218,977. This may reflect investor concerns about declining earnings and near zero return from Renewables and Energy Solutions, rather than a fundamental undervaluation.

W38	Cash-based Valuation	2024	2023
	FCF	39,532	36,457
	FCF yield	16.34%	13.36%
	EV/FCF	5.5	6.4
	Dividend yield	4.48%	4.03%
	Payout	21.9%	23.02%
	Adjusted EBITDA	65,803	68,538
	EV/EBITDA	3.33	3.38
	Implied EV (at 2023 multiple)	222649.9	

5.3 Dividend-Based Valuation

Dividend yield improved from 4.03% to 4.48% (\$8,668m / \$193,515m), partly reflecting lower market capitalisation rather than dividend growth alone. The payout ratio declined from 23.02% to 21.9% of net income, consistent with management's preference for buybacks (\$13,898m) over dividends as the primary return mechanism.

W38	Cash-based Valuation		
		2024	2023
	FCF	39,532	36,457
	FCF yield	16.34%	13.36%
	EV/FCF	5.5	6.4
	Dividend yield	4.48%	4.03%
	Payout	21.9%	23.02%
	Adjusted EBITDA	65,803	68,538
	EV/EBITDA	3.33	3.38
	Implied EV (at 2023 multiple)	222649.9	

5.4 Conclusion

Shell's valuation metrics improved in 2024 in both EV/FCF and FCF yield, indicating Shell generates more free cash flow per dollar of enterprise value than in the prior year. While market capitalisation declined because of the reduction of total shares, share price almost remained the same value with 2023. Share price remained flat, suggesting market evaluated Shell's value same with last year. Overall, the improving cash-based and dividend metrics may prove that Shell's ability to generate and distribute value to shareholders remained intact in 2024.

6. Conclusion and Investment Recommendation

Overall, Shell's 2024 financial profile reflect a company in a healthy financial position but facing declining earnings , revenue, EBIT, and net profit all fell. While the balance sheet remains conservative and liquidity is strong, declining ROE and ROCE consistently indicate Shell is generating less value from its asset base than in last years. The improvement in FCF and valuation metrics came most from capital expenditure reduction than earnings recovery. This may suggests the sustainability of current cash generation will depend on whether Shell can stabilise its earnings in future periods.

Based on the analysis above, the recommendation is to invest. Although there is decline in earnings, Shell continues to generate and distribute substantial cash to shareholders as FCF grew despite weaker revenue, dividend yield stands at 4.3% with a low payout ratio of 21.9%, and buybacks were fully funded from operations. These factors collectively indicate a business with intact cash generation capacity. For a medium-term equity investor , Shell's conservative balance sheet, growing FCF, and consistent shareholder returns provide a reasonable basis for a long

position. However, it is good if provided earnings decline does not accelerate and reinvestment levels are maintained sufficiently to protect future productive capacity.

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